

ORDERS

The learned counsel for JDR has filed preliminary objections contending that this Court has no any jurisdiction to entertain this petition as the District Court in Hukkeri without having any jurisdiction, passed an order on an application filed u/Sec.11 of the Arbitration and Conciliation Act, 1996. For brevity (here in after referred to as Act) and appointed an arbitrator. As per Sec.11 of the Arbitration and Conciliation Act, application can be filed only before Hon'ble High Court of Karnataka. The application is not maintainable before a District Judge. In view of the same, the arbitrator appointed has lacked inherent jurisdiction to adjudicate any dispute between the parties and pass any award. Hence, the award passed by the arbitrator is a nullity in law and there can be no enforcement of any award passed by the arbitrator in the present case. Any enforcement of this award that is patently illegal would be against public order and justice. The decree holder had fraudulently approached the Hukkeri District Court and filed O.S.No.59/2015 in spite of being aware that

the respondent was present in Bengaluru and no cause of action has arisen in Hukkeri District. As per arbitration clause, the Courts of Trivandrum had jurisdiction of power, authority to adjudicate any disputes between the parties after two years of filing the suit bearing O.S.No.59/2015. The respondent has filed I.A. under Sec.11 of the Arbitration and Conciliation Act, 1996 in the year 2017 stating that since there is an arbitration clause in the purchase order an arbitrator be appointed. As per Sec.11 of the Act, the application could be maintainable only in the Hon'ble High Court of Kerala. Hence, the District Court in O.S.No.59/2015 without application of mind and without any jurisdiction appointed an arbitrator by name Sri.Ashok B. Bolgundi who is a practicing advocate in Belgaum district. At first instance when the arbitrator issued the notice to appear the judgment debtor brought it to the arbitrator's notice that he had no jurisdiction to adjudicate the disputes between the parties. However, the arbitrator was hands in glove with the decree holder and the award was illegally passed. In fact there were no

correspondences between the parties and the arbitrator after the issue of jurisdiction was raised and the judgment debtor safely presumed that the arbitration ceased to exit. However, the Decree Holder issued a notice dated 02.02.2018 that an award was passed and called upon the judgment debtor to pay money. The judgment debtor has issued reply on 15.02.2018 requesting the decree holder to send the entire order sheet, judgment, decree in O.S.No.59/2015 and also the entire order sheet maintained by the arbitrator. The decree holder undertook to pay the entire cost for the same. The judgment debtor once again issued a notice on 29.08.2018 requesting the decree holder to send the required document immediately. There was complete silence for 6 years and by suppressing materials and by playing fraud, the decree holder has filed this execution petition to extort money from the judgment debtor. The decree holder with malafide intention to harass the judgment debtor fraudulently obtained an illegal award and has filed this execution petition. The decree holder is a public sector undertaking

and owing to the afore mentioned reasons the execution petition be dismissed by imposing heavy costs.

Heard the arguments of learned respective counsels, reply arguments of learned counsel for JDR. Perused materials available on record.

The points that arise for consideration and determination are as under:-

1. Whether this Court has no jurisdiction to entertain this petition?
2. What order?

This Court answer above points as under:-

Point No.1 : In Negative,

Point No.2 : As per the final order
for the following:-

REASONS

Point No.1:- It is the case of the JDR that this Court has no jurisdiction as the

District Court Hukkeri without having any jurisdiction, on an application filed u/Sec.11 of Arbitration and Conciliation Act appointed an arbitrator. The Hon'ble High Court of Trivandrum is having jurisdiction to adjudicate any dispute between the parties after two years of filing the suit bearing O.S.No.59/2015. The respondents in the year 2017 filed I.A. u/Sec.11 of the Act stating that since there is an arbitration clause in the purchase order that an arbitrator be appointed. In spite of issuance of reply, the decree holder has failed to furnish required documents i.e. entire order sheet, judgment, decree in O.S.No.59/2015 and also entire order sheet maintained by the arbitrator.

The learned counsel for the judgment debtor has relied upon rulings reported in:-

(1) **2019 SCCOnline KAR 276** (Para No.8 and 9), in the case of Mohammed Shafi and another V/s. Mohammed Ashapak Hussain.

(2) **1972 (2) SCC 662** (Headnote B; Para 3) in the case of Sunder Dass V/s. Ram Prakash.

(3) **2020 (5) SCC 462** (Headnote A; Para 10 & 13) in the case of Brahmani River Pellets Limited V/s. Kamachi Industries Limited.

The rulings relied upon by the learned counsel for JDR are not applicable to the present case in hand as facts and circumstances of the present case and facts and circumstances of the above referred rulings are entirely distinguishable.

The learned counsel for DHR has argued that this Court has jurisdiction to proceed with the matter. This Court being executing Court cannot go behind the decree. At the fag end in an execution petition, this point is raised. The District Court at Hukkeri was having jurisdiction to entertain the application and as such, the District Court passed an order. The JDR was not diligent enough to contest the said petition and is now taking bald contention that he is not provided required documents i.e. entire order sheet, judgment, decree in O.S.No.59/2015. Hence, the DHR prayed

to dismiss the preliminary objection raised by the JDR.

This execution petition is filed on the basis of decree transfer certificate from the court of Senior Civil Judge, Hukkeri, in Ex.P.No.36/2018 pertaining to O.S.No.59/2015. Award is passed on 31.07.2017. Preliminary objections are filed on 29.06.2024. When petition is posted for steps, this application is filed by the JDR in the present case. On careful scrutiny of records, it is seen that since from 2017 till filing of preliminary objections, the JDR has not chosen to take steps as required under law. The JDR has filed this application i.e. preliminary objections in execution petition that too on 29.06.2024. If the JDR was really aggrieved by the award, the JDR would have been vigilant enough in taking steps as required under law at the earliest. At this stage, when petition is posted for steps this application is filed. The JDR slept over his rights. At this stage, the executing Court cannot go behind the decree. The say of JDR that exception to the general rule that executing Court cannot go behind

the decree where the decree sought to be executed is a nullity for lack of inherent jurisdiction and its invalidity can be set up in execution proceeding is not applicable to the present case in hand looking to the peculiar facts and circumstances of case. The JDR should have been vigilant enough when he has filed application to set aside / windup arbitration proceedings in the year 2017 i.e. 25.02.2017. This Court is of considered opinion that this Court has jurisdiction to entertain and to decide the petition. Hence, preliminary objection raised by the JDR is not applicable to the present case in hand. Accordingly, the say of the JDR that this Court has no jurisdiction to entertain this petition is negated.

XVII Addl. City Civil &
Sessions Judge, Bengaluru.